

Unemployment Overview

PROGRESSIVE, REGRESSIVE SOCIAL ETC TAXES

A person is unemployed if they are part of the labour force (Economically active population) but doesn't have a job.

Labour force participation rate is the proportion of people eligible to participate in the labour force

People who are actually participating in it, by working or looking for work

The labour force sum of employed and unemployed

The labour force is the working population or the economically active population

The economically inactive population comprises persons who are neither employed nor unemployed during the short reference period used to measure current activity

Therefore not working and neither looking for work

Split into 4 groups

1. Attendant at educational institution (full time students)
2. Retired
3. Engaged in family duties (housewives)
4. Other economically inactive (eg ill)

Definition- It is defined as the situation in which people who are willing and able to work but are unable to find work

Labour force participation (LFPR) or participation rate= labour force/total working- age population

Formal definition the unemployment rate is the proportion of the labour force who are willing able to work but have not been employed in paid work for at least one hour in the week in which they were surveyed.

How is unemployment rate measured

Unemployment occurs when someone is willing and able to work but does not have a paid job.

Participation rate= total labour force/total working age population

Employment rate= no. employed/total labour force

Unemployment rate= no.unemployed/total labour force

Underemployment rate= no. of part time workers seeking more work/total labour force

Natural rate of unemployment

Even at the full employment rate there is still some form of unemployment known as the natural rate of unemployment

The natural rate of unemployment is a combination of frictional structural and unemployment

Even a healthy economy will have this level of unemployment because workers are always coming and going, looking for better jobs

It occurs at a normal or natural rate between 1 and 4 percent

The natural rate of unemployment for australia is currently 4.5 percent

The unemployment rate provides an important gauge of spare capacity in the labour market and the economy more generally

Other factors also affect unemployment which complicates its interpretation when informing monetary policy

Statistical methods can be used to estimate the extent to which the unemployment rate reflects spare capacity versus more enduring structural factors.

Types of unemployment

There are three main types of unemployment- cyclical, structural and frictional unemployment

Seasonal, underemployment, disguised

In practice, these cannot be measured directly, and they can often overlap, but they provide a useful way of thinking about unemployment.

Frictional

Frictional unemployment occurs when people have to move between jobs in the labour market as well as when people transition into and out of the labour force

Movement of workers is necessary for a flexible labour market and helps achieve an efficient allocation of labour resources

However people may not find jobs immediately and need to invest time and effort in searching for the right job

Businesses also spend time searching for suitable candidates to fill job vacancies

As a result people looking for jobs are not matched immediately with vacancies and may experience a period of temporary unemployment

Generally shorter term less than a month

Likely to occur at all points of the business cycle and like structural may not influence wages or inflation

Reasons

Imperfect market knowledge - due to ignorance of job opportunities and rates of pay

Aggravated by geographical immobility of labour

Takes time for workers to shift to new places where there is demand for labour

Structural unemployment

Structural unemployment occurs when there is a **mismatch** between the jobs that are available and the people looking for work

This mismatch could be because jobseekers don't have the skills required to do the available jobs or because the available jobs are a long way from the job seekers.

Workers may become unemployed if they work in industries that are declining in size or have skills that could be automated as a result of large scale technological advances

It may be difficult for them to find work in another industry and they may need to develop new skills or move to a region that has more opportunities

EG there has been a decline in people employed in manual jobs with these jobs being automated because of advances in tech

The manufacturing industry has declined because of this

Tends to be longer lasting

This is because it can take a number of years for workers to develop new skills to move to a different region to find a job that matches their skills

Exists when times are good in an economy

Cyclical unemployment

With changes in economic activity over the business cycle

During economic downturn a shortfall of demand for goods and services results in a lack of jobs being available for those who want to work

Businesses experiencing weaker demand might reduce the amount of people they employ by laying off existing workers or hiring fewer new workers

As a result people looking for work will also find it harder to become employed

The opposite situation occurs when demand strengthens

Cyclical unemployment is often described as being medium term in nature (one to 12 months)

Cyclical occurs when AD falls (CIGXM)

In a trough or downturn cyclical unemployment occurs

Seasonal unemployment

Occurs when people are unemployed at particular times of the year when demand for labour is lower than usual

Standard of living is significantly affected if season unemployment measures are large

Underemployment

Refers to people of working age with part time jobs when they would rather work full time or with jobs that do not make full use of their skills and education

Include people who work fewer hours per week than they would like or trained as individuals such as engineers economists or computer analysts who work as taxi drivers waiters or waitresses or anything else unrelated to their profession.

Is due to the inadequacy of the economy to meet the needs of the growing labour force resulting from an increase in population

The government invests in different growing sectors

Is the proportion of people employed on a part time basis who would like more work

It is also an indicator of spare capacity in the economy

part time/full time

Where more people are working than is necessary the overall productivity of each individual drops.

Improving quantity of FOP doesn't result in increase in productivity

Improving quality of FOP does result in increase in productivity